

THE THESIS IN ONE LINE

Purest Japanese MLCC lever: -55% from its high while backlog rose 78% QoQ

▲ BULL — why it could be worth it

- Capacitors 69% of sales: most MLCC-levered Japanese name [ATTRIBUTED]
- Capacitor book-to-bill 1.72; backlog +78% QoQ [FACT]
- OP guide raised to ¥45bn from ¥30bn (+125%) [FACT]
- Price hikes April and September 2026 [ATTRIBUTED]
- Exploring alliance with TDK (29 Sep) [ATTRIBUTED]

▼ BEAR — why it might not

- AI-server exposure under 4% [ATTRIBUTED]
- EV / 4y-mean EBITDA ~22x on thin historical margins [EST]
- Net debt ~¥50bn; capex ¥42bn [ATTRIBUTED]
- Fell 84-89% in 2000 and 2007 busts [FACT]

THE SINGLE DRIVER TO WATCH

Whether low-cap consumer/auto price hikes stick into 1Q27.

VALUATION

Fwd P/E 36.4x; EV/EBITDA 19.2x; consensus TP ¥14,356 (+42%, pre-1Q mix).

ENTRY / LEVELS

Trade, sized small: add on any revisit of the 14 Sep low; stop if capacitor book-to-bill < 1.1.

WHAT WOULD FLIP THE CALL

Consumer demand rolls over before the Japanese price leg; it falls hardest in every bust.